The Capital Market is the market for borrowing and lending of medium and long term funds, say above three years. The market to raise investment also forms part of capital market. Stock exchanges and development financial institutions form capital market.

This chapter covers Reserve Bank of India and its functions, composition of money market, banking schemes and sub markets.

Reserve Bank of India (RBI) and its Functions

It is the apex regulatory body of the Indian banking system. It keeps the cash reserves of all scheduled banks and hence is known as the Reserve Bank. It is also called the central bank and was established in 1935 under RBI Act 1934. It was owned by private with government share and was nationalised in 1949.

General superintendence and direction are carried by Central Board of Directors. Apart from Central Board, RBI has four local boards (Chennai, Mumbai, Calcutta and New Delhi).

Functions of RBI

The Preamble of the Reserve Bank of India describes the basic functions of the Reserve Bank as:

"...to regulate the issue of bank notes and keeping of reserves with a view to securing monetary stability in India and generally to operate the currency and credit system of the country to its advantage."[2]

The functions of RBI can be classified as in Figure 7.1.

Figure 7.1